Southerly Economics

Independent research

South East Queensland Residential Land Review

Moreton Bay lot market, May 2025

Prepared for Quillwood Credit Partners

Version 1.0

20 May 2025

Reference: SE/RES/2025-05

Date: 20 May 2025

Synthetic - for demonstration. All names, entities and figures are fictional.
Confidential. Prepared for the addressee only and not to be relied on by any other party.

Prepared by	Southerly Economics
Prepared for	Quillwood Credit Partners
Subject	South East Queensland (SEQ) residential land market, with a focus on Moreton Bay
Date	20 May 2025
Version	1.0
Data cut-off	30 April 2025
Reference	SE/RES/2025-05

Document details

1. Executive summary

This review assesses conditions in the SEQ residential land market as at April 2025, with a focus on the Moreton Bay local government area. Moreton Bay is one of the largest greenfield lot markets in the state and is a common location for the development finance and lot-sale settlement exposures held by private credit managers. We prepared the review for Quillwood Credit Partners as a market input to its residential land credit work. It is not an assessment of any individual project or borrower.

The Moreton Bay lot market remains positive on price but has softened on volume and settlement quality. The median lot price is A$498,000, up 4.2 per cent on the A$478,000 recorded a year earlier. Annual lot sales are 3,950, down 8.4 per cent from 4,310. Months of supply has risen to 7.8 from 6.1, and the trailing 12-month settlement default rate has increased to 2.6 per cent from 1.7 per cent.

Our base case is for Moreton Bay median lot prices to grow by 3.0 per cent over calendar 2026, to a median of about A$520,000 by December 2026. This is slower than the pace of the past year and reflects a market in which supply is building faster than absorption, while lower interest rates and constrained new land approvals provide support. We see the balance of risk as modestly to the downside for settlement performance and to the upside for price if the easing cycle proceeds faster than assumed.

Indicator	Apr 2025	Year earlier	Change
Median lot price (A$)	498,000	478,000	+4.2%
Annual lot sales	3,950	4,310	-8.4%
Months of supply	7.8	6.1	+1.7 months
Settlement default rate	2.6%	1.7%	+0.9 pts

Table 1: Moreton Bay headline indicators

Key conclusions are as follows.

- Price growth has decelerated but remains positive. The 4.2 per cent annual rise in the median is driven by a shift towards larger and better located lots as well as like-for-like increases.
- Absorption has slowed. At 3,950 lots a year, sales average about 329 a month. At 7.8 months of supply this implies roughly 2,570 lots on the market, about 17 per cent more than a year ago.
- Settlement risk is rising from a low base. A rate of 2.6 per cent implies about 103 of the 3,950 annual contracts failed to settle on time. The trend matters more to lenders than the level.
- Dispersion between sub-markets is material. Caboolture and Morayfield carry the highest months of supply (8.6) at the lowest median price (A$468,000).
- We forecast lot price growth of 3.0 per cent for 2026, with a downside case of negative 4.0 per cent and an upside case of 6.0 per cent.

2. Scope, data and definitions

The review covers the Moreton Bay Regional Council area and compares it with four other SEQ lot markets: Ipswich, Logan, the Sunshine Coast and the Gold Coast. Brisbane City is excluded because its lot supply is largely infill and is not comparable with greenfield estates.

Data are drawn from registered lot sales, developer sales reports provided to Southerly Economics by contributing agents and developers, Queensland titles registry settlement records and our own survey of estate sales offices. The data cut-off is 30 April 2025. Definitions used throughout are set out below.

- Median lot price: the median contract price of residential lots sold in the 12 months to April 2025, for lots of 250 to 800 square metres, excluding acreage and englobo land. The median lot in Moreton Bay is about 400 square metres, which implies roughly A$1,245 per square metre.
- Annual lot sales: the number of unconditional lot contracts exchanged in the 12 months to April 2025.
- Months of supply: the number of registered and titled-in-six-months lots on the market divided by average monthly sales over the preceding 12 months.
- Settlement default rate: the share of contracts due to settle in the period that were not settled within 30 days of the contractual settlement date or that were terminated for buyer failure to complete. The rate is calculated on a trailing 12-month basis.

Southerly Economics definitions of months of supply and settlement default may differ from those used by individual developers or lenders. Comparisons with internal portfolio data should be made with care.

3. South East Queensland context

SEQ has experienced a sustained period of strong population growth, driven by interstate migration, overseas arrivals and the longer-term shift in housing demand away from Sydney and Melbourne. This has supported demand for new detached housing, but affordability has constrained the buyer pool. Higher interest rates since 2022 have reduced borrowing capacity, and many first-home buyers and owner-occupiers have remained out of the market or turned to established dwellings.

The Reserve Bank of Australia began easing the cash rate in February 2025. Fixed and variable mortgage rates have followed, although only part of the cut has yet shown up in approvals for land and house-and-land packages. Lenders continue to apply serviceability buffers that limit the benefit of lower rates for buyers at the top of their borrowing range. Land buyers face a further constraint because they typically need to fund a deposit on the land and then arrange construction finance, so total commitments are larger than for an established purchase.

Table 2 compares Moreton Bay with the other four lot markets. Moreton Bay is the second largest by annual sales and sits in the middle of the group on price. Its months of supply is the second highest after the Sunshine Coast and the Gold Coast, which are thinner markets where a small number of estates can distort the figure.

Market	Median lot (A$)	Annual sales	Months of supply
Moreton Bay	498,000	3,950	7.8
Ipswich	455,000	4,620	6.4
Logan	482,000	3,310	7.1
Sunshine Coast	635,000	1,150	9.2
Gold Coast	690,000	880	8.5

Table 2: SEQ lot markets, 12 months to April 2025

Moreton Bay accounts for about 28 per cent of the 13,910 lots sold across the five markets. Ipswich, which includes the Greater Springfield and Ripley corridors, remains the volume leader and has the lowest median price and months of supply. Buyers priced out of Moreton Bay have continued to move west, and this competition is one reason for the weaker absorption in the Caboolture corridor.

4. Moreton Bay lot pricing

4.1 Price trend

The median lot price in Moreton Bay has risen in each half-yearly period since May 2023, from A$455,000 to A$498,000. The annual increase of 4.2 per cent to April 2025 is below the double-digit growth recorded in 2021 and 2022, and the half-yearly increments have narrowed. Of the A$20,000 rise over the past year, we estimate that about half reflects a like-for-like increase in the price of comparable lots and the remainder reflects a change in the mix of lots sold, with a higher share of titled lots in Griffin and Burpengary and fewer small lots in Caboolture.

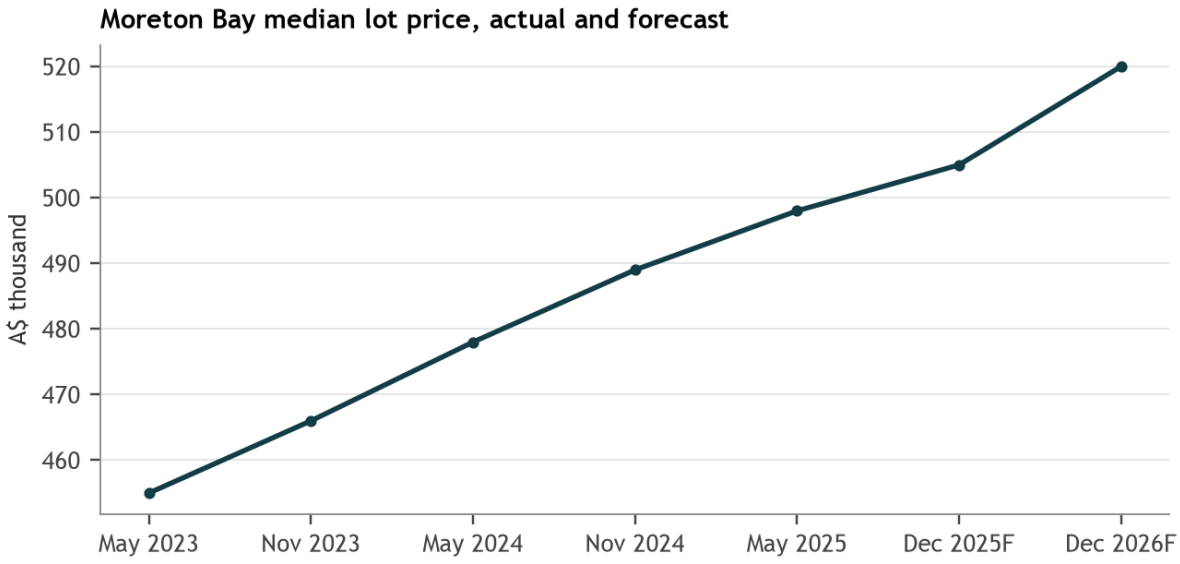


Figure 1: Median lot price, with Southerly Economics base case forecast (F) to December 2026

4.2 Sub-market detail

Table 3 shows the five sub-markets used in this review. The Caboolture and Morayfield corridor is the largest by volume, with 1,280 sales or about 32 per cent of the total, and is also the cheapest and the most oversupplied. Griffin and Mango Hill is the most expensive of the main estates, at A$535,000, and is supported by proximity to rail and the Kinsellas and North Lakes employment nodes. Dakabin and Kallangur has the lowest months of supply at 6.9, partly because few large estates remain to be released.

Sub-market	Lots sold	Median (A$)	Months of supply
Caboolture and Morayfield	1,280	468,000	8.6
Burpengary and Narangba	920	505,000	7.0
Griffin and Mango Hill	640	535,000	8.1
Dakabin and Kallangur	430	510,000	6.9
Other Moreton Bay	680	505,000	7.6
Moreton Bay total	**3,950**	**498,000**	**7.8**

Table 3: Moreton Bay sub-markets, 12 months to April 2025

The sub-market medians and months of supply are weighted so that they reconcile to the Moreton Bay totals. The gap of A$67,000 between the Griffin and Caboolture medians is larger than the difference in lot size alone would explain, and indicates that location and amenity are being priced separately from land area.

4.3 Incentives and effective prices

Contract prices overstate the net price received by developers in some estates. In Caboolture and Morayfield, our survey of sales offices found that a majority of active estates were offering some form of incentive, including stamp duty contributions, landscaping packages, deferred deposits or price-hold guarantees. We estimate that incentives reduce the effective price by between 1 and 3 per cent in these estates. Lenders assessing project feasibility should ask for net-of-incentive sale prices, and should not rely on headline lot prices from sales brochures.

5. Supply and absorption

Annual lot sales of 3,950 are 360 below the 4,310 recorded a year earlier. Sales were weakest in the second half of 2024, when buyers waited for rate cuts, and have recovered only slightly in the first four months of 2025. Enquiry levels reported by sales offices have improved since February, but conversion of enquiry into signed contracts remains lower than in 2023.

On the supply side, the volume of titled lots available has risen. Monthly sales of about 329 lots against 7.8 months of supply implies an inventory of roughly 2,570 lots. A year ago, monthly sales were about 359 and months of supply was 6.1, implying about 2,190 lots. The increase of roughly 380 lots reflects both a decline in sales and the completion of stages that were approved and funded in 2022 and 2023, when pre-sale rates were higher.

We regard a range of 4 to 6 months of supply as consistent with a balanced greenfield market, and levels above 9 months as associated with price falls in past cycles. At 7.8 months, Moreton Bay sits between these thresholds. The Caboolture and Morayfield corridor, at 8.6 months, is closest to the level at which developers have historically resorted to price cuts.

The forward pipeline is more constrained. Development approvals for new lots in Moreton Bay fell through 2024, in line with higher funding costs and weaker pre-sales, and new releases have been staged more cautiously. Large future supply is concentrated in the Caboolture West growth area, where trunk infrastructure delivery will determine the timing of lot releases. We expect titled lot supply to peak in the second half of 2025 and to decline gradually through 2026, assuming current approval rates persist.

6. Settlement performance

The settlement default rate for Moreton Bay is 2.6 per cent on a trailing 12-month basis, up from 1.7 per cent a year earlier. The rate has increased in each of the past four quarters. For a market of 3,950 annual contracts, 2.6 per cent represents about 103 contracts.

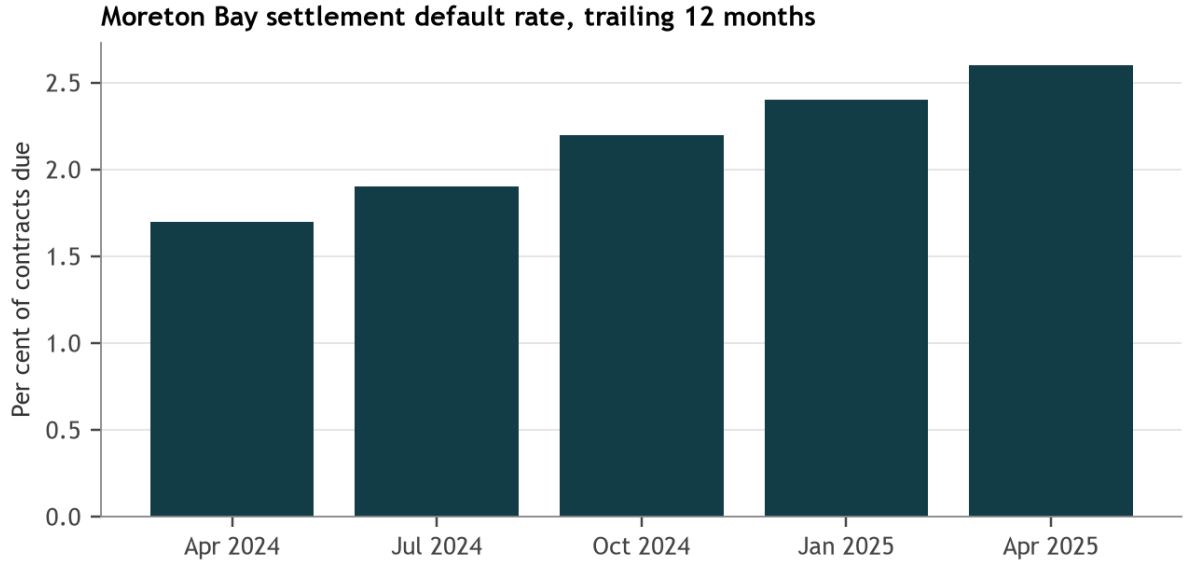


Figure 2: Trailing 12-month settlement default rate

The increase is not evenly distributed. Defaults are concentrated in contracts exchanged in 2023 and early 2024 at prices that have since been overtaken by valuations of comparable lots, or where buyers have been unable to obtain

finance at the contract price. Our sales office survey and discussions with conveyancers point to three main causes.

- Valuation shortfall: the bank valuation comes in below contract price, and the buyer cannot fund the difference. This is most common in Caboolture and Morayfield.
- Serviceability: borrowers who signed contracts when rates were lower, or on the basis of earlier lender policies, no longer meet current serviceability tests.
- Construction cost and builder risk: buyers unable to secure a fixed-price building contract that fits within their budget have withdrawn from the land purchase, particularly where a builder has become insolvent or has withdrawn quotes.

Settlement defaults matter to lenders for two reasons. First, a lot that fails to settle must be resold, usually at a lower price or after incentives, and the developer bears the holding cost in the meantime. Second, repayment of a residential land loan is often sequenced to lot settlements, so delays in settlement push out repayment dates and reduce the cushion against interest and cost overruns. A rate of 2.6 per cent is manageable for most projects. It becomes material if the rate in a particular estate is well above the market average, or if settlements are concentrated in a small number of stages.

7. Outlook and forecast

7.1 Base case

Our base case is for Moreton Bay median lot prices to grow by 3.0 per cent over calendar 2026. We forecast a median of about A$505,000 at December 2025 and about A$520,000 at December 2026. Growth in 2025 is expected to be around 3.3 per cent over the twelve months from the end of 2024, then to slow slightly in 2026 as the stock of titled lots is worked through.

The forecast rests on the following assumptions.

- The cash rate continues to ease gradually through 2025 and into 2026, with variable mortgage rates falling by around 75 basis points in total from their February 2025 level.
- Net overseas and interstate migration to SEQ remains broadly in line with the past three years.
- Lot approvals remain subdued, so that titled lot supply peaks in late 2025 and declines through 2026.
- Construction costs rise by no more than 3 to 4 per cent a year, and builder insolvencies do not increase materially from current levels.
- No major change in state or federal first-home buyer incentives.

7.2 Scenarios

Table 4 sets out three scenarios. In the downside case, rates fall more slowly than expected, unemployment rises and settlement failures increase, leading developers to cut prices to clear stock. In the upside case, rates fall faster, buyer confidence improves and months of supply declines towards 6.

Scenario	2026 price growth	Dec 2026 median (A$)	Settlement default rate
Downside	-4.0%	485,000	4.5%
Base case	3.0%	520,000	2.4%
Upside	6.0%	535,000	1.8%

Table 4: Moreton Bay scenarios for calendar 2026

Scenario medians are calculated from the December 2025 base case median of A$505,000. The settlement default rate shown is the expected trailing 12-month rate at December 2026. In the base case, we expect the rate to ease to 2.4 per cent as the 2023 and early 2024 contract vintages are worked through and as valuations align with contract prices.

We assign approximate probabilities of 25 per cent to the downside case, 55 per cent to the base case and 20 per cent to the upside case. The weighted expected growth is therefore around 2.5 per cent, slightly below the base case, which reflects the larger magnitude of the downside outcome.

8. Implications for residential land lenders

The following observations are intended to inform lenders' assessment of Moreton Bay residential land exposures. They are general market observations and not credit recommendations. Individual transactions require project-level analysis.

- Pre-sales: with months of supply at 7.8 and rising in some corridors, pre-sale levels for new stages carry more weight than they did in 2023. Lenders should test the quality of pre-sales, including deposit size, buyer finance status and the age of the contract relative to current valuations.
- Feasibility sensitivity: base case feasibility should not assume price growth above the 3.0 per cent forecast. A downside test of lot prices 4 to 5 per cent below the current median is consistent with our downside scenario.
- Settlement concentration: repayment profiles that depend on a small number of large settlements within a single quarter are more exposed to a market-wide default rate of 2.6 per cent and rising than profiles that are spread across many stages.
- Sub-market selection: the Caboolture and Morayfield corridor shows the highest supply and the lowest prices, and the greatest use of incentives. Estates in Dakabin, Kallangur and Burpengary show lower months of supply.
- Valuations: the gap between contract price and valuation is a leading indicator of settlement failure. Lenders should request evidence of buyer finance approvals for pre-sold lots, rather than relying on contract exchange alone.
- Time to sell: a longer sell-out period increases interest capitalisation. A stage that takes 12 months to sell rather than 9 adds about one quarter of additional interest cost on the stage loan balance.

9. Key risks to the forecast

The principal risks to our forecast are as follows.

- Interest rates: a slower easing path, or an unexpected rise in inflation, would reduce borrowing capacity and weaken demand. Each 25 basis point change in mortgage rates changes borrowing capacity for a typical household by about 2.5 per cent.
- Employment: a rise in unemployment would reduce buyer confidence and increase settlement failures. This is the main driver of our downside case.
- Builder insolvencies: the failure of a major builder can affect land sales in estates where that builder has a large share of house-and-land packages. This risk is not captured in headline market measures.
- Policy: changes to first-home buyer concessions, stamp duty or foreign buyer rules could change demand. We have assumed no change.
- Infrastructure timing: delays to trunk infrastructure in Caboolture West or to transport upgrades would delay lot releases and affect supply timing.
- Data limitations: the settlement default series relies in part on voluntary reporting by developers and agents, which may under-represent smaller or distressed projects.

10. Method and limitations

Forecasts are produced using a model that relates the Moreton Bay median lot price to the cash rate, months of supply, employment growth, population growth and construction costs. The model is estimated on quarterly data since 2010 and is adjusted by judgement for sub-market and policy factors. Probabilities attached to scenarios are our own estimates and have wide uncertainty.

Median prices are sensitive to the mix of lots sold. A change in the share of larger or smaller lots can move the median independently of price changes in comparable lots. Where we refer to like-for-like growth, we use a repeat-sale and matched-estate approach, and the results are indicative only.

This report has been prepared by Southerly Economics for Quillwood Credit Partners and is based on information available to 30 April 2025. It is a general market review and does not take into account the objectives, financial situation or needs of any particular person. It does not constitute credit, investment, valuation or legal advice. Figures are rounded, and totals may not sum exactly. Southerly Economics has relied on data provided by third parties and has

not independently verified all of it. Forecasts are subject to uncertainty and actual outcomes may differ materially.